

Sector Underwriting Note: Auto Components

Policy Document: Credit Policy for Auto Components SME Lending

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Effective Date: 1st January 2023

Review Date: 1st January 2025

Introduction

This sector underwriting note sets out the specific credit policy requirements for lending to Auto Components SMEs. It outlines the typical working capital cycle, sector-specific DSCR floor, seasonality adjustments, common causes of distress, acceptable collateral types, maximum exposure, and other specific numeric thresholds for this sector.

Typical Working Capital Cycle (WCCT)

The typical working capital cycle for Auto Components SMEs is 120-150 days, which includes 30-40 days of inventory holding, 40-60 days of accounts receivable, and 30-40 days of accounts payable.

DSCR Floor

The sector-specific DSCR floor for Auto Components SMEs is 1.50x, which is higher than the standard 1.25x DSCR floor. This is due to the high inventory holding requirements and the seasonality of demand in this sector.

Seasonality Adjustments

Auto Components SMEs typically experience a peak in demand during the months of April to September, which corresponds to the peak season for vehicle sales. As a result, we will apply a seasonality adjustment of -10% to the DSCR calculation for the months of October to March.

Common Causes of Distress

The two most common causes of distress in this sector are:

1. Unexpected changes in demand, particularly during the off-season months.
2. Supplier failure or disruption, which can impact inventory availability and lead times.

Acceptable Collateral Types

The following collateral types are acceptable for Auto Components SME lending:

1. Accounts receivable (max. 50% of total exposure)
2. Inventory (max. 30% of total exposure)
3. Property (max. 20% of total exposure)
4. Equipment (max. 10% of total exposure)

Maximum Exposure

The maximum exposure the lender will hold in this sector as a percentage of book is 8%.

Specific Numeric Thresholds

The following specific numeric thresholds apply to Auto Components SME lending:

1. Minimum EBITDA margin: 10%
2. Maximum debt-to-equity ratio: 3:1
3. Minimum cash flow coverage ratio: 1.20x
4. Maximum inventory days outstanding: 45 days

By following this sector underwriting note, underwriters will be able to ensure that Auto Components SME lending meets the required credit standards and mitigates the risks associated with this sector.

Exceptions

The following exceptions apply to this sector underwriting note:

- * High-value or specialized equipment suppliers, where the lender has expertise in the sector and can negotiate customized terms.
- * SMEs with a strong track record of cash flow management and consistent EBITDA margins above 15%.

Review and Update

This sector underwriting note will be reviewed and updated as necessary, with changes taking effect on the next scheduled review date.

Approved by

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[Date]: 6th August 2026